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Luxury | Europe

Talk from the trade

What's new? We recently ran a fresh round of luxury goods channel checks with a select group of European wholesalers and retailers. While our sample is not statistically representative, the feedback was directionally insightful and offers useful colour on current trading conditions.

General mood (=) Our channel checks suggest the overall mood in luxury has become more polarised rather than clearly better or worse. On the positive side, some were a little bit more optimistic than last quarter arguing that "clearly some brands are winning the game" after a more complicated Q1 with many brands having major issues; while others warned that the "new season optimistic mood masks a reality that is still very hard", with performance brand specific and moderate at best (except for the obvious winner). Customers are described as "much more selective", notably buying "only when there are clear values". On tourists, all experts flagged a continued decline in Middle Eastern flows, partly offset by more American tourists (which were characterized as seeing an increase in numbers but not an increase in spend per person). Chinese clients are present but "quite intentional" in what they buy. Experts also converged on the view that aspirational customers remain under pressure while VICs / UHNWs are spending more than ever. The broad read-through is that of an industry with widening dispersion between clear winners and structurally challenged names, rather than witnessing a broad-based recovery.

Key takeaways by brand alphabetically (full overviews inside):

Balenciaga (-) Overall, momentum remains weak, although there are tentative signs that the rate of deterioration may be moderating versus prior quarters.

Bottega Veneta (=/+) Momentum appears steady to modestly more positive this quarter, with the brand remaining fundamentally healthy, even as momentum has cooled from its Matthieu Blazy-era highs.

Brunello Cucinelli (+) Brunello Cucinelli remains a standout name across all checks, consistently benefiting from its durable quiet-luxury credibility and loyal affluent client base.

Burberry (+) Continued improved momentum with heritage-led categories like trenches and scarves anchoring the turnaround and disciplined full-price selling helping desirability convert consistently into sales.

Celine (=) Feedback was mixed, with some noting an improvement in brand desirability, yet renewed brand heat has yet to convert consistently into sales.

Dior (=) The read-through is broadly consistent with last quarter's view that Anderson's reset is a longer-term brand elevation story rather than an immediate commercial catalyst, but the gap versus the Chanel brand has widened this quarter.

Fendi (-) Momentum remains negative this quarter, with the brand stuck in a low-

MORGAN STANLEY & CO. INTERNATIONAL PLC+		
Edouard Aubin		
Equity Analyst		
Edouard.Aubin@morganstanley.com		+44 20 7425-3160
Natasha Bonnet		
Equity Analyst		
Natasha.Bonnet@morganstanley.com		+44 20 7677-5723
Grace Smalley, CFA		
Equity Analyst		
Grace.Smalley@morganstanley.com		+44 20 7425-9629
Cedric Norest		
Research Associate		
Cedric.Norest@morganstanley.com		+44 20 7425-1462

BRANDS	
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Industry View	In-Line

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visibility holding pattern while it waits to see whether new creative leadership can rebuild desirability.

Ferragamo (=/+) Momentum appears modestly improved this quarter, with the heritage-led shoe relaunch doing well as per some experts, but others still see a brand that customers need to be actively steered toward rather than one they seek out.

Gucci (=/-) Overall, our checks suggest Gucci's momentum remains challenged, leaving the brand in a transitional phase rather than a sustained recovery.

Hermès (=/+) Overall, trading was described as broadly stable, with momentum and brand heat appearing largely unchanged and remaining among the strongest in the sector.

Miu Miu (=/+) Momentum remains positive yet still moderating this quarter, as the brand digests its own rapid expansion, even as cultural heat shows no signs of fading.

Moncler (+) As per our checks momentum remains solid this quarter, with strong customer appetite for lighter summer product reinforcing genuine progress on year-round relevance beyond its winter core.

Prada (=/+) On balance, feedback suggests momentum remains broadly more positive relative to last quarter in terms of brand health and positioning, although not uniformly so.

Saint Laurent (+) Overall our checks suggest that Saint Laurent is gaining share, with both desirability and sales performance firmly on an upward trajectory.

Thom Browne (-) Our checks suggest the brand remains under pressure this quarter, stuck in a narrow, low-relevance niche, with no signs yet of the reinvention needed to reignite broader demand.

Tom Ford (=/-) Momentum remains weak this quarter, while it waits for a stronger, occasion-focused collection to bring back full-price demand.

Valentino (=/+) While still in the early stages of recovery, momentum appears to be gradually improving this quarter.

Versace (=/-) Momentum remains subdued this quarter, with the bold new collection winning some early converts by standing out from the quiet-luxury crowd, though skepticism still dominates and real proof of a lasting turnaround is still missing.

Vuitton (-) As per our channel checks, momentum remains on the back foot this quarter, with fading desirability, as per our checks.

Zegna (+) Momentum remains firmly positive this quarter, with strong menswear tailoring demand keeping growth at a solid pace, and the brand being one of the sector's clearest quiet luxury winners.

Talk from the Trade: Luxury Brand Takeaways

We detail key takeaways by brand below; the commentary is organized alphabetically. Comments across our checks were insightful, but we note our sample is not statistically representative, and thus the feedback below should only be viewed as anecdotal.

Balenciaga (-) Balenciaga remains in transition. Experts broadly agreed that the brand is still struggling to move on from the Demna era, with weaker desirability and sales ranging from roughly flat to down DD% and noting the weakness is concentrated in RTW. Several respondents questioned whether customers have fully embraced the new direction and highlighted evidence of spending shifting towards Gucci, while another noted the challenge of moving on from such a strong identity with Demna. More positively, one expert argued that the business is gradually stabilising and could benefit from future product launches under Pierpaolo Piccioli. Overall, momentum remains weak, although there are tentative signs that the rate of deterioration may be moderating versus prior quarters.

Bottega Veneta (=/+) Feedback suggests Bottega Veneta remains a healthy brand, although momentum has cooled from the highs achieved under Matthieu Blazy. Experts generally agreed that classic leather goods continue to perform well and that the brand's positioning as a high-quality leather house remains intact. One expert described growth in the low-single digits, while another cited high-single-digit to near-double-digit growth and improving desirability, crediting Louise Trotter's ready-to-wear as executing "quiet luxury really well". However, several noted that newer collections have yet to generate the same level of excitement as under the previous creative direction. Overall, Bottega Veneta appears to be transitioning from an exceptional momentum story to a steadier growth profile, with brand heat remaining broadly supportive.

Brunello Cucinelli (+) Brunello Cucinelli continues to stand out as one of the strongest brands in luxury. Experts consistently described double-digit growth, strong demand from affluent customers and sustained success in balancing quiet luxury credibility with increasing modernity. Several viewed Brunello, alongside Zegna and Loro Piana, as part of menswear's "gold triangle", noting it remains a favored brand among wealthy clientele. A further distinction was drawn versus Zegna on styling, with Cucinelli seen as the more casual, summer-friendly choice compared to Zegna's more formal, suit-oriented positioning.

Burberry (+) Burberry was one of the few brands where feedback was consistently positive across all experts, pointing to a business that is gradually rebuilding both desirability and commercial momentum, with the brand moving in the right direction and in a meaningfully better place than a year ago. Several respondents attributed this improvement to management's decision to reconnect the brand with its heritage, with one expert describing the return to "roots and authenticity" as a "great bet" that is helping rebuild relevance with consumers. Another noted that Burberry's perception has improved materially and that the brand is becoming "more organic" in how it communicates with customers, contrasting this with the more forced repositioning attempts seen elsewhere in the sector. From a product perspective, feedback was highly consistent. Trench coats and scarves continue to anchor the proposition and were repeatedly cited as the best-performing categories, reinforcing the view that luxury consumers are increasingly

gravitating back towards authentic category leaders. Experts also highlighted improving traction in ready-to-wear, particularly womenswear, alongside early signs of recovery in handbags. Summer products, including polo shirts and T-shirts, were specifically called out as performing well, while one expert noted that Chinese tourists were actively seeking out the brand in Europe. Another pointed to Burberry's disciplined approach to promotions, suggesting management is prioritising brand equity and full-price sales. Looking ahead, channel checks indicate growing optimism around upcoming product launches and the brand's Christmas programme, with several experts expecting momentum to continue building over the next year. While Burberry is not yet being discussed alongside the sector's strongest performers, the consensus view is that it has successfully stabilised the business, rebuilt credibility with consumers and is now entering the next stage of recovery, where improving desirability is increasingly feeding through into sales growth.

Celine (=) Feedback on Celine was notably mixed. On the positive side, several experts described the brand as one of the most interesting and desirable stories in luxury today, citing strong reactions to Michael Rider's collections, positive fashion week reception and improving momentum in RTW. One expert called Celine "the clear winner of Paris fashion week," and suggested sales improving sequentially in Q2 vs. Q1, alongside strong customer interest and increasing store traffic. However, others were considerably more cautious, describing the business as still down, with weak performance of RTW and accessories, ranking Celine outside the top 10 desirable brands. Overall, sentiment towards the creative direction and brand desirability appears to be improving, but financial performance remains subdued and there is little consensus yet that stronger brand heat is translating into materially better sales.

Dior (=) Feedback on Dior was broadly consistent with a brand whose long-term outlook is improving, but whose near-term trading remains subdued. All contacts we spoke to highlighted strong industry excitement around Jonathan Anderson and acknowledged that his arrival has generated significant attention, yet several noted that consumer interest has not translated into meaningful sales acceleration (with sales ~flat in Q2). Encouragingly, handbags were consistently mentioned as a bright spot, with products such as the Lady Dior, the Bow bag and the Médaille receiving positive feedback. However, several experts argued that Dior is currently losing wallet share to the Chanel brand, with one noting that customers are entering Dior stores before ultimately purchasing elsewhere. The consensus appears to be that brand heat is building slowly and confidence in Anderson's long-term vision remains high, but sales performance remains soft and meaningful benefits are unlikely to materialise until future product drops reach stores. The read-through is broadly consistent with last quarter's view that Anderson's reset is a longer-term brand elevation story rather than an immediate commercial catalyst, but the gap versus the Chanel brand has widened this quarter.

Fendi (=/-) Our checks continue to point to subdued momentum at Fendi. While one expert noted some improvement in leather goods performance and viewed the brand as entering a "reset" phase under new creative leadership (Chiuri's debut Fendi collection expected in July 2026), the broader feedback remained cautious. Several respondents highlighted persistent weakness following the recent creative changes, softer demand for iconic franchises such as Peekaboo and continued reliance on Baguette, and a lack of visibility relative to larger luxury peers. Sales were generally described as down mid-single digits, with RTW remaining sluggish and little evidence of improving desirability. Although

there are signs the brand is attempting to reposition itself, momentum appears broadly unchanged to slightly weaker versus last quarter.

Ferragamo (=/+) Opinion on Ferragamo was sharply divided. The bulls described the brand as one of the better-performing turnarounds in luxury, citing strong growth (some noting +DD%), driven by improving desirability and success in relaunching heritage footwear franchises. Others remained cautious, arguing the brand is still in decline and requires significant client education to generate demand, with the brand not naturally "first to mind" for clients. Overall, sentiment and product reception appear to be improving, particularly in shoes, but the recovery remains uneven.

Gucci (=/-) Feedback on Gucci points to a brand where the conversation is improving faster than the numbers. Several experts noted growing curiosity around the brand, with heritage franchise bags such as Jackie, Bamboo and Horsebit attracting renewed attention, while Demna's arrival has helped reintroduce energy and relevance to the Gucci story. However, the majority of feedback suggests that sales performance remains quite weak. Several experts continued to describe sales trends as down double digits still in Q2, with performance remaining highly volatile. A recurring theme from our checks was that Gucci remains very much a brand in transition rather than recovery. While clients are increasingly engaging with the brand and there are signs of renewed interest around selected products, several respondents argued that consumer confidence remains the key issue. Compared with stronger-performing peers, Gucci was viewed as lacking the consistency and clarity of narrative that currently resonates with luxury consumers. One expert remarked that Gucci sales associates still need to actively sell products, whereas at leading brands product desirability alone often drives demand. Product commentary was mixed: Heritage icons remain the primary bright spot, with Jackie, Bamboo and Horsebit continuing to see demand, while some respondents highlighted growing interest in newer introductions such as the Paparazzo bag, which was described as having a compelling shape and attractive price point. However, experts generally agreed that isolated product successes are insufficient to offset broader weakness across the assortment. Several respondents noted that clients are gravitating towards established icons rather than newer collections, with one expert commenting that the products launched in April and May have not gained significant traction. While some leather goods are performing reasonably well, handbags were no longer viewed as investment purchases in the same way as before, limiting urgency around purchasing decisions. There was also debate around Gucci's current aesthetic positioning, with some experts arguing that Demna's approach is helping the brand stand out, while others felt it risks narrowing Gucci's appeal versus the broader audience the house traditionally served. Similarly, while price points were generally viewed as reasonable, several experts questioned whether affordability is currently helping or potentially undermining perceptions of exclusivity. A further headwind identified by several experts was continued weakness among Chinese consumers. While Gucci has historically been one of the sector's most important brands for Chinese luxury spending, one respondent observed that demand from Chinese clients has fallen away. Overall, our checks suggest Gucci's momentum remains challenged, leaving the brand in a transitional phase rather than a sustained recovery.

Hermès (=/+) Hermès remains one of the strongest and most resilient franchises in luxury, according to our channel checks, with little change in momentum versus last quarter. Multiple experts highlighted continued strength in brand desirability, with one

explicitly noting they were "not seeing any fatigue or over-exposure of the brand", highlighting sustained demand for leather goods, persistent waiting lists and continued scarcity around Birkin and Kelly bags. Traffic was described as very strong, with customers continuing to purchase adjacent categories simply to participate in the Hermès ecosystem. By contrast, one expert offered a more cautious take that softer trends were linked to weaker Middle Eastern spending and argued that desirability could gradually be diluted by broader customer access, though this was very much the minority view. Overall, trading was described as broadly stable, with momentum and brand heat appearing largely unchanged and remaining among the strongest in the sector.

Miu Miu (=/+) Feedback points to a moderation in Miu Miu's momentum after several years of extraordinary growth. All experts agreed that desirability remains very strong and that the brand continues to enjoy significant cultural relevance – with one expert calling out "the brand momentum is definitely still there, with clients still asking for denim miniskirts, sunglasses and bags". However, some experts reported softer sales trends, describing the business as down as recent expansion initiatives and store openings are absorbed. Several respondents suggested that the brand had simply grown too quickly for current momentum to be sustained indefinitely. Overall, Miu Miu remains one of luxury's most desirable brands, but sales performance is now normalising and growth is becoming less exceptional than in previous quarters. The read-through is of a brand still winning at the aggregate level, even as growth moderates.

Moncler (+) Moncler continues to rank among the strongest performers in our checks, with all experts describing the brand as performing well and growth estimates ranging from +MSD/DD%. Particularly notable was the strength of non-winter categories, including polos, T-shirts and lighter outerwear, with one expert noting "people are buying a lot in the summer" and specifically praising performance in menswear knitwear and polos; suggesting continued progress in reducing seasonality. Respondents also praised the brand's ability to balance heritage with category diversification with one noting the brand has "the resources to think about different categories" while remaining fundamentally a winter-led outerwear house. Momentum remains firmly positive and appears at least as strong as last quarter.

Prada (=/+) Several experts highlighted accelerating momentum, describing Prada as one of the industry's steadiest performers with good growth, strengthening desirability and increasing share gains. Prada's intellectual positioning, strong fashion credibility and attractive handbag pricing were cited as key strengths, supported by established pillars such as Saffiano leather, Re-Nylon. However some noted that clients still go to Prada, but observed that it is not high in demand with a lack of urgency to shop the brand. On balance, feedback suggests momentum remains broadly more positive relative to last quarter in terms of brand health and positioning, although not uniformly so.

Saint Laurent (+) Feedback on Saint Laurent was quite positive this quarter, with experts describing the brand as "highly desirable" thanks to its elevated brand image. While estimates varied, feedback pointed to very strong trading in Q2, with strength broad-based rather than driven by a single hero product with one expert arguing that Saint Laurent is simply "getting everything right". Several categories were repeatedly mentioned as standout performers. Loafers were highlighted as a major success, with competitors increasingly launching similar styles. Looking ahead, sentiment remains highly constructive. Experts believe current run rates remain strong, and several expect

momentum to continue building into Autumn/Winter, supported by the brand's strength in leather categories and higher-ticket products. Overall, our checks suggest that Saint Laurent is gaining share, with both desirability and sales performance firmly on an upward trajectory.

Thom Browne (-) Feedback on Thom Browne was light yet uniformly weak. Experts described the brand as overly niche, lacking broader consumer momentum and struggling to reinvent itself. Sales were described as down, with limited evidence of renewed relevance. Momentum remains negative.

Tom Ford (=/-) Feedback on Tom Ford remains cautious, with experts continuing to describe the brand as challenged. Several respondents noted that the business remains down year-on-year, with demand constrained by high price points and weakness in tailoring, which was repeatedly highlighted as a difficult category. One expert noted that sales tend to be stronger during promotional periods, suggesting limited full-price momentum. While there were some comments that the second season under the new direction could show improvement, particularly if clients respond positively to more eveningwear and occasion-led products, the overall view is that momentum remains subdued and broadly unchanged from prior quarters.

Valentino (=/+) Feedback on Valentino was limited but generally constructive. Experts highlighted improving momentum in RTW and footwear, with one respondent citing good growth since the start of the year, while acknowledging that handbags remain more challenging. Respondents praised the brand's quieter approach, noting it is "less noisy than other brands; doing its own thing", with a focus on quality clientele rather than headline-grabbing marketing. While still in the early stages of recovery, momentum appears to be gradually improving.

Versace (=/-) Feedback on Versace was light and remained highly uncertain. One expert highlighted a strong consumer reaction to the brand's first collections under its new creative direction, estimating high-single-digit growth in Q2, arguing that the brand's more distinctive aesthetic is resonating in a market dominated by quiet luxury. However, the other experts remained more sceptical, describing the brand as lacking desirability and effectively operating like "almost a new brand", with an unproven turnaround story. Overall, there are signs of improving product reception and a better conversation around the brand, but evidence of a sustained commercial recovery remains limited.

Vuitton (-) Our checks suggest Louis Vuitton's momentum remains challenged, with little evidence of a meaningful improvement versus last quarter. While several experts continue to view LV as the industry's benchmark and noted that recent fashion shows have generated attention and helped keep the brand in the conversation, they generally agreed that this attention has not translated into stronger sell-through. One expert described Q2 sales as broadly flat, while the others characterised the business as still declining. The common thread across discussions was a perception of fading desirability relative to peers, particularly among womenswear customers, with several experts noting "brand fatigue", limited urgency to purchase, and greater vulnerability to weaker aspirational demand given LV's historically broader price accessibility. One expert linked this directly to positioning, arguing LV remains too closely associated with logo-led design at a moment when the market has shifted decisively toward classic, understated luxury, noting "we couldn't be any further from streetwear today." While menswear was viewed more

favourably and continues to attract a loyal client base, but overall brand momentum appears to remain on a downward trajectory, with Chanel increasingly viewed as the main beneficiary of share shifts at the high end.

Zegna (+) Zegna received consistently positive feedback across our checks. Experts highlighted accelerating momentum versus Q1, some noting +DD% in Q2, strong pricing power and continued demand across formalwear and broader wardrobe categories. Experts described the brand as continuing to trade up and benefiting from strong demand in luxury menswear. While momentum remains solid, several respondents noted that growth does not quite yet match Brunello Cucinelli's pace, with Zegna described as sitting "just below". The brand was repeatedly cited as a key destination for quiet luxury and wardrobe-building RTW, benefiting from its authority in tailoring and broader men's wardrobes. Overall, momentum remains firmly positive, with no expectations of a slowdown for now.

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Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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INDUSTRY COVERAGE: Brands

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/09/2026)
Edouard Aubin		
Adidas (ADSGn.DE)	O (04/15/2024)	€181.55
Birkenstock Holding plc (BIRK.N)	E (11/06/2023)	US\$45.32
Ferrari NV (RACE.N)	O (06/15/2026)	US\$374.67
Ferrari NV (RACE.MI)	O (06/15/2026)	€327.45
Hermes International S.C.A. (HRMS.PA)	E (10/06/2025)	€1,624.50
Kering (PRTP.PA)	E (04/10/2026)	€245.80
LVMH Moët Hennessy Louis Vuitton SA (LVMH.PA)	E (01/19/2026)	€492.95
Richemont SA (CFR.S)	O (02/05/2025)	SFr 184.00
Grace Smalley, CFA		
Burberry (BRBY.L)	O (05/18/2026)	1,076p
EssilorLuxottica SA (ESLX.PA)	O (07/05/2023)	€171.65
Hugo Boss AG (BOSSn.DE)	E (07/09/2024)	€37.83
Luxexperience BV (LUXE.N)	E (09/15/2023)	US\$7.72
Pandora A/S (PNDORA.CO)	E (01/16/2023)	DKr 781.00
PUMA SE (PUMG.DE)	++	€28.00
Natasha Bonnet		
Avolta AG (AVOL.S)	E (04/24/2026)	SFr 52.30
Brunello Cucinelli (BCU.MI)	O (01/27/2026)	€80.70
Ermenegildo Zegna (ZGN.N)	E (02/12/2026)	US\$13.57
Moncler SpA (MONC.MI)	E (06/22/2026)	€49.60
Prada SpA (1913.HK)	E (06/29/2026)	HK\$39.54
Salvatore Ferragamo Spa (SFER.MI)	U (02/12/2026)	€10.00

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* Historical prices are not split adjusted.